

exchanges can be thought of as isolated liquidity pools, so if one exchange is experiencing significantly stronger demand than other exchanges, the bitcoin on that exchange may trade at a premium to other exchanges. In the equities markets, such differences in price would quickly be solved by arbitrage, but due to time delays in moving bitcoin between different exchanges, not to mention fiat currency capital controls, these pricing discrepancies persist.

The combination of growing interest in bitcoin and recognition of the need for robust and regulated bitcoin indices has led two major investment markets, the NYSE and the Chicago Mercantile Exchange (CME), to implement their own bitcoin indices. The NYSE launched its bitcoin pricing index, NYXBT, in May 2015.³³ At the time, the president of the NYSE, Thomas Farley, said, “Bitcoin values are quickly becoming a data point that our customers want to follow as they consider transacting, trading, or investing with this emerging asset class. As a global index leader and administrator of ICE LIBOR, ICE Futures U.S. Dollar Index, and many other notable benchmarks, we are pleased to bring transparency to this market.”³⁴

The NYBXT methodology utilizes data-based rules that produce what they feel is an “objective and fair value for one bitcoin.” The index initially began by taking data from Coinbase, in which the NYSE had a minority investment,³⁵ though it has since branched out to include other exchanges.

In the latter part of 2016, the CME Group also launched its own bitcoin price indices with the CME CF Bitcoin Reference